

# Crypto Market Structure & Self-Custody

Keys, seed phrases, and operational risk — the three terms that underpin the entire asset class.

### Cryptocurrency

A coin native to its own chain. Example: Bitcoin.

### Crypto-token

Issued on top of an existing chain. Example: ERC-20 tokens.

### Crypto-asset

The CBB umbrella term covering both - used for regulation.



# A Wallet Stores Keys, Not Coins

### Private Key = Control

Whoever holds the private key controls the funds. The wallet is only a key manager - nothing more.

### Seed Phrase = The Wallet Itself

The mnemonic regenerates all keys. Anyone who has it owns the funds. Losing it loses everything.

### Golden Rule

Never share or photograph your seed phrase. No exceptions.

# Wallet Risk Ladder

From most convenient at the top to safest at the bottom.

1

### Custodial

A third party holds your keys. Convenient but you must trust them. Risk: exchange failure or hack. Example: exchange account.

2

### Hot Self-Custody

You hold keys online. Flexible but exposed to malware and phishing. Example: MetaMask on a laptop.

3

### Cold Multi-Sig

Keys stored offline, several signatures required. Safest but least convenient. Example: hardware wallet, 2-of-3 multi-sig for treasury.

# Lab: Classify the Risk

A faucet gives free test coins on a testnet - practise safely with no real money at stake. Now classify these three arrangements:

| 1 | 2 | 3 |
| --- | --- | --- |
| **Exchange Account**<br>**Custodial.** You do not hold the keys. Risk: exchange failure or hack. | **MetaMask on a Laptop**<br>**Hot self-custody.** You hold keys online. Risk: malware or a leaked seed phrase. | **Hardware Wallet, 2-of-3 Multi-Sig**<br>**Cold.** Keys offline, multiple signatures required. Lowest risk - used for treasury holdings. |